Budgetary planning

INTRODUCTION TO FINANCIAL STATEMENTS IN POWER BI

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Financial statements recap

Balance sheet

- Adheres to the accounting equation
- Snapshot of what a company owns and owes
- `Assets` = `Liabilities` + `Owner's Equity`

Income Statement

- Revenues and expenses for a specific period of time
- Covers key metrics such as
  - `Gross Revenue` & `Net Revenue`
  - `Gross Profit` & `Net Profit`
  - `EBITDA`

The importance of budgeting

Budget

- A formal financial plan that solidifies company goals annually

Benefits

- Reduces financial surprises
- Coordinates company activities and helps focus on future goals

Example

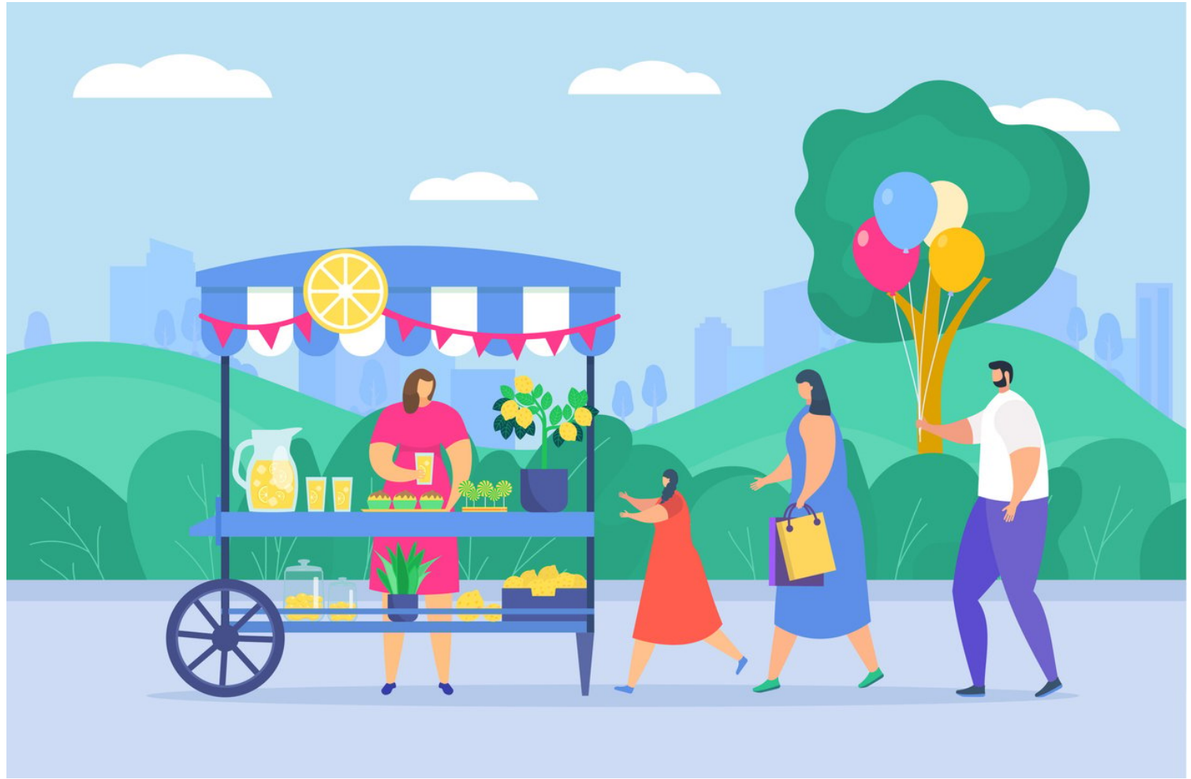
- Useful when expanding our lemonade and juice store to new locations

Budgeted balance sheet

- Plan for anticipated expenditures and debt obligations (often yearly)
- Based on previous and current year budget
- Account for future company changes

Example

- Next year we take out a loan of `$1000` to invest in a new lemonade stand.
- We can incorporate that in the budget
- `Assets` = `Liabilities` + `Owner's Equity`
- `$1000` = `$1000` + `$0`



Actual vs. Budget analysis

Budget

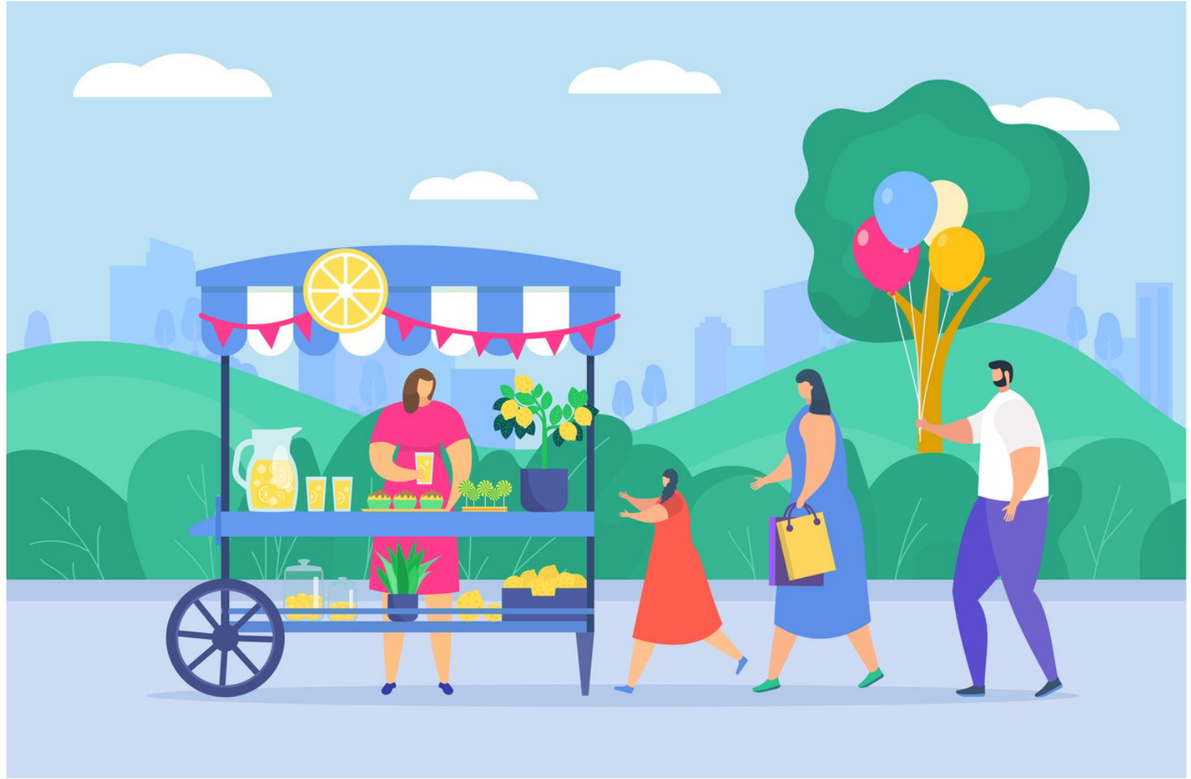
- An estimated amount over a period of time (`$1000` for a lemonade stand)

Actual

- The exact amount over a period of time (`$1100` for a lemonade stand)

Analyzing Actual vs. Budget

- Financial efficiency and accuracy
- Predict future outcomes



[1] https://www.investopedia.com/terms/b/budget.asp

Financial forecasting

Financial Forecasting

- Estimation of future financial outcomes
- Based on historical data
- Monthly or quarterly updates

Benefits

- Designed to provide updates for immediate action
  - Created for short long-term goals

Example

- Impact of good weather on # of juicers

Budgeting vs. Forecasting

Budget: Created to meet a goal (Annually)

Financial Forecasting: determine if budget goals will be met (revised frequently)

Example

- Budget estimated `$200` of juicers for the year (assets).
- The owner plans to invest `$100` of his own money in two new juicers.
- Total assets for juicers is `$300` instead of `$200`.

Budget variance

`Budget Variance` = `Actuals` - `Budget`

Example

- More juicers then expected that were bought with the owner's money (`$100`).
- `Assets` = `Liabilities` + `Owner's Equity`
- `$100` = `0` + `$100`

Let's practice!

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Budget analysis in Power BI

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Budgeted and forecasted income statement

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Budgeted income statement

Income statement

- Determines if there is a loss or a gain

Budgeted Income Statement

- Reports expected profitability
- Basis of evaluating company performance
- Information used to implement immediate actions

[1] Weygandt, Jerry J., et al. Accounting Principles, John Wiley & Sons, 2018.

Key metrics of the income statement

Gross Revenue

- Total earnings

Net Revenue

- Earnings a company keeps from its sales
- `Net Revenue` = `Gross Revenue` - `Discounts` - `Returns`

Gross Profit

- Profit after subtracting COGS.
- `Gross profit` = `Net Revenue` - `COGS`

Net Profit

- Profit after subtracting all expenses
- `Net profit` = `Gross profit` - `Expenses`

Budgeted cost of goods sold

- **COGS:** costs of producing items sold by a company
- **Budgeted COGS:** Estimates the costs of the materials and labor for next year
- Key metric to set a strategy

Example

- Lemon prices go up
- --> Increase the price of a lemonade

Forecasted income statement

Financial Forecasting

- Estimation of future financial outcomes

Example

- Budget: `$2000` in gross revenue
- Halfway through the year: `$1200` in gross revenue
- Forecasted gross revenue: `$2400` .

Budget variance

`Budget Variance` = `Actuals` - `Budget`

Favorable: Actual is better than budget

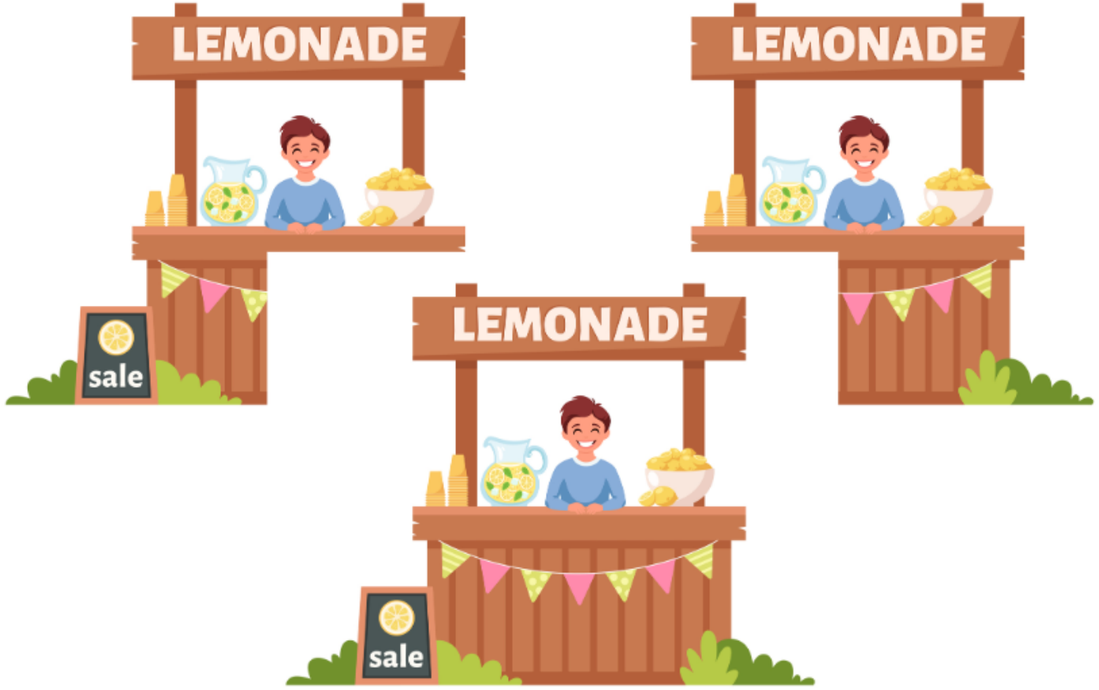
- More revenue than expected
- Less costs than expected

Unfavorable: Actual is worse than budget

- Less revenue than expected
- More costs than expected

Example: Favorable budget

- `$2400` - `$2000` = `$400`



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Income statement budgeting and forecasting

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